The EU regional Social Progress Index 2.0

2024 edition

European Commission
Directorate-General for Regional and Urban Policy

Why measuring social progress in regions

- GDP is often used as an indicator of the general health of the economy, but economic growth comes along with profound changes in a society, from changes in the industrial structure to public health, literacy, demography, and the distribution of income.
- The advent of modern socioeconomic statistics allowed to complement GDP to account explicitly and in detail for crucial aspects of wellbeing like environmental sustainability, poverty, or inclusivity.
- The EU regional social progress index offers a tool to complement GDP to better monitor social and environmental development across regions of the EU
- The regional level is crucial for proper investments on socio-economic and environmental objectives of the EU
- Its purpose is to facilitate region’s benchmarking on a wide range of socio-economic and environmental factors, to inform policymakers and stakeholders on region's strengths and weaknesses

Comparison with RCI

- **SPI and RCI are complementary in assessing regional performance**. EU-SPI measures how a region addresses social needs and improves wellbeing for its residents. RCI measures how a region attracts businesses, generates jobs and provides economic prosperity.
- SPI uses social and environmental outcome indicators, while RCI mainly includes economic and labour market indicators, and a few social indicators.
- Theoretical frameworks are different. The selection and combination of variables into meaningful composite indicators adheres to fitness-for-purpose principle.

SPI use

- European Semester, monitoring of Cohesion Policy investments, guiding negotiations between managing authorities and the European Commission

Relationship with EU SCF

- **SPI examines region's strengths and weaknesses** in providing social wellbeing, to monitor cohesion policy
- Based on Global SPI framework and composite indicators methodology, including individual rights and freedoms, environmental quality
- Assesses the region's performance compared to the EU average and the region's peers.

- **Social Convergence Framework (SCF) monitors 'upward social convergence' in the EU**, aligned with the European Pillar of Social Rights
- Based on the Social Scoreboard and JER 'traffic-light' methodology
- Identifies Member States that face risks and challenges (according to specific criteria) and therefore require in-depth examination.

EU-SPI 2.0 methodological framework: three main dimensions, and 12 components

The framework of the EU-SPI follows the one used in the Global Social Progress Index but adapted to the EU regional context

EU Regional Social Progress Index		
Basic needs	**Foundations of wellbeing**	**Opportunity**
Nutrition and medical care	Basic education	Trust and governance
Water and sanitation	Information and communication	Freedom and choice
Housing	Health	Inclusive society
Safety	Environmental quality	Advanced education

EU-SPI is a relevant tool to monitor cohesion policy investment

Cohesion policy 2021-2027 specific objectives	EU-SPI component(s)
Enhancing research and innovation (PO1)	Advanced education
Reaping the benefits of digitisation (PO1)	Information and communications
Growth and competitiveness of SMEs (PO1)	Information and communications & trust and governance & freedom and choice
Skills for smart specialisation and transition (PO1)	Information and communications
Digital connectivity (PO1)	Information and communications
Sustainable water (PO2)	Water and sanitation & environment
Climate change adaptation (PO2)	Environmental quality
Social integration of people at risk (PO4)	Inclusive society & freedom and choice
Addressing material deprivation (PO4)	Housing
Access to employment and activation measures for all (PO4)	Freedom and choice
Adaptation of workers and enterprises to change (PO4)	Advanced education & information and communications
Active inclusion and employability (PO4)	Freedom and choice
Improving education and training systems (PO4)	Basic education & advanced education
Lifelong learning and career transitions (PO4)	Advanced education
Education and training infrastructure PO4)	Basic education & advanced education
Integration of third country nationals (PO4)	Inclusive society
Integration of marginalised communities (PO4)	Inclusive society
Access to health care (PO4)	Nutrition and medical care & health

Link between 2021-27 cohesion policy specific objectives and EU-SPI components

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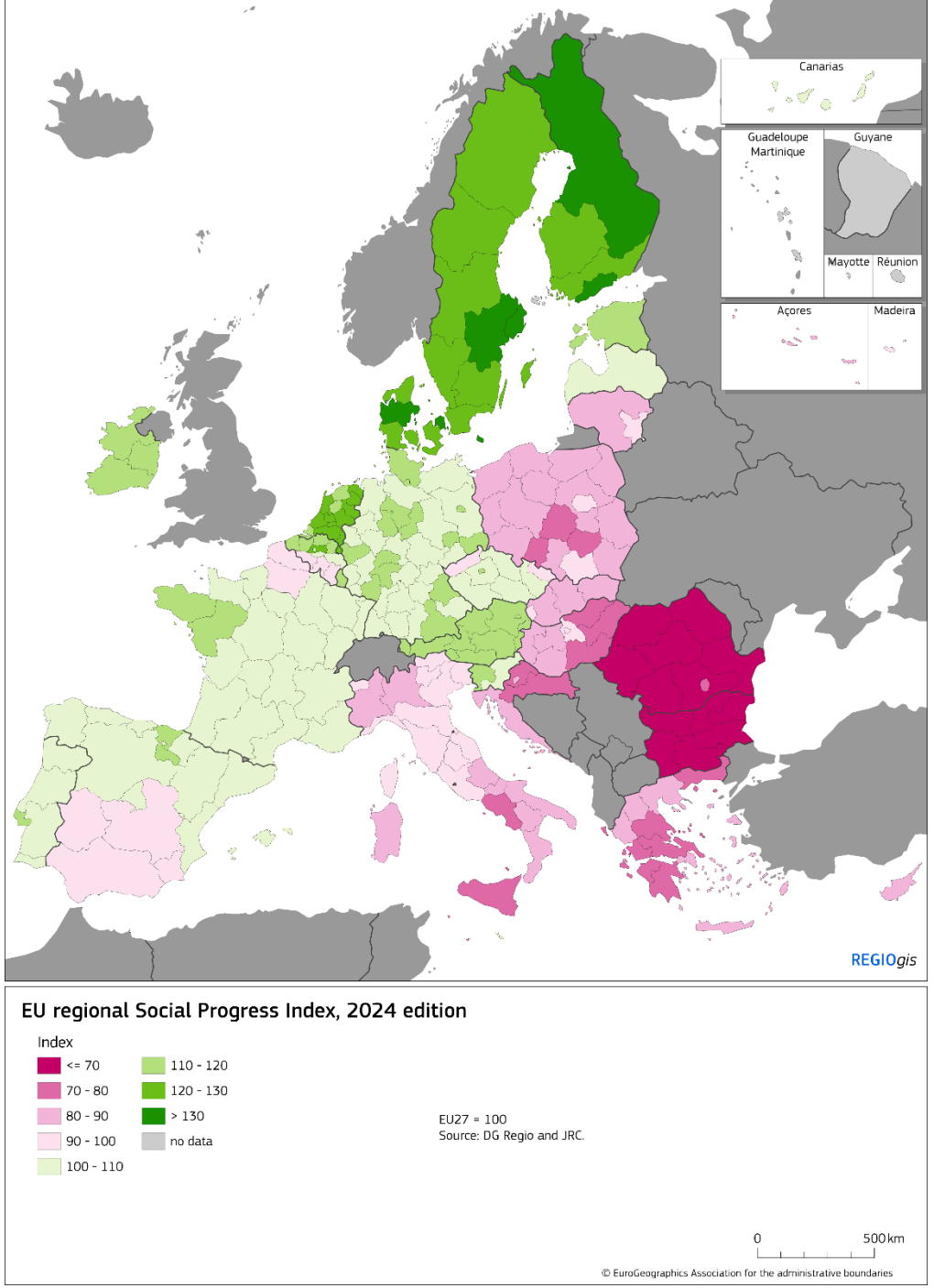
From EU-SPI to EU-SPI 2.0 – An updated framework

- EU-SPI 2.0 maintains at large the structure of the previous editions but uses an updated methodological framework.

- The changes were primarily driven by the availability of new relevant indicators or the discontinuation of old ones. The final framework thus captures a revised and updated notion of regional social progress in the context of the EU.

- EU average always set equal to 100, for the overall index, the three dimensions and the 12 component, to facilitate benchmarking with the EU

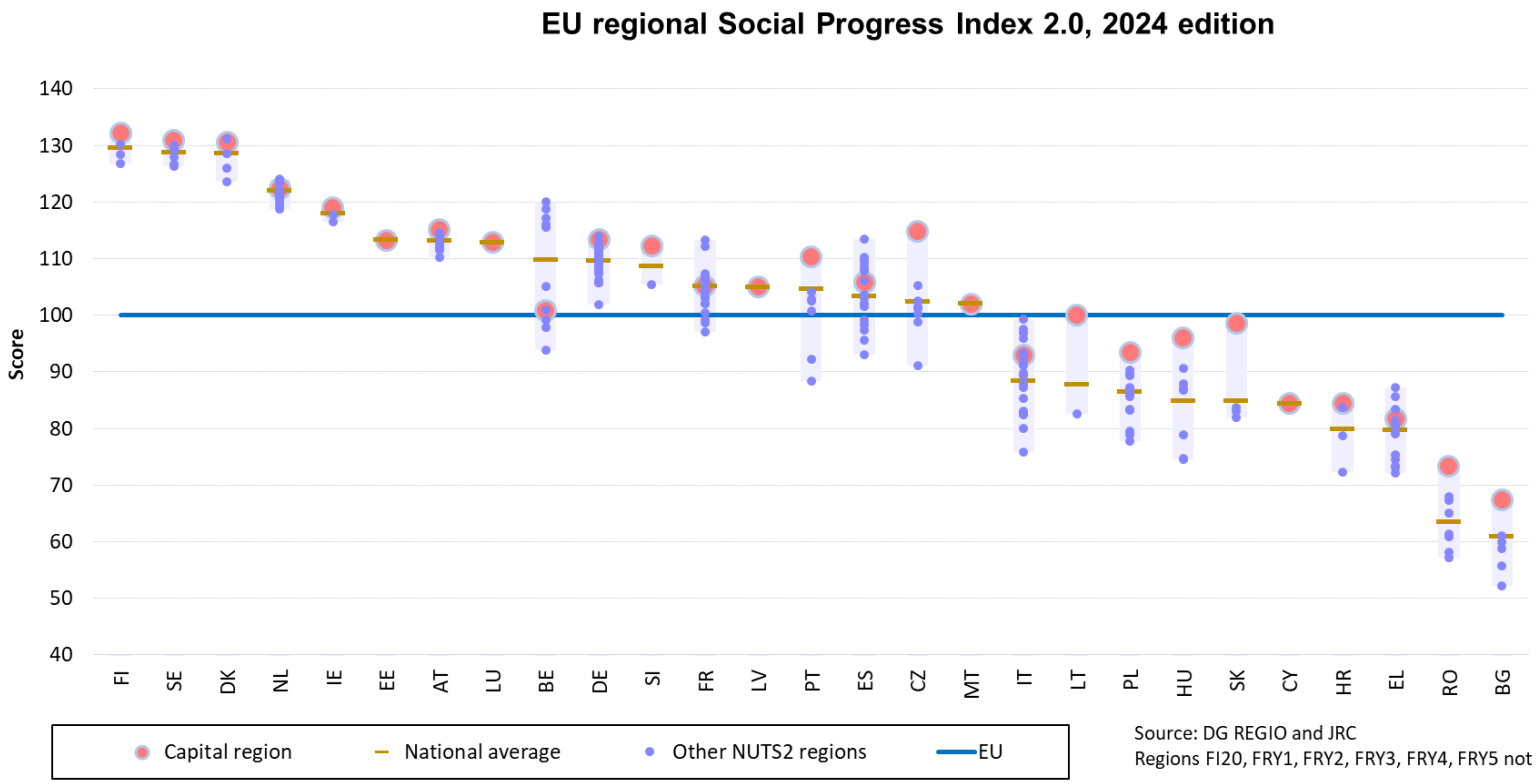
- Launch of the index will be accompanied by new interactive tools and a data story



Main findings: large disparities across EU regions

- Social progress varies greatly across regions in the EU, although a national effect is clearly visible in countries like Italy and in many eastern Member States.
- Overall, regions in Denmark, Finland, the Netherlands, and Sweden outperform while regions in Eastern countries, Greece, Italy and some regions in Spain lag behind.
- The top performer regions score around 30% higher than the EU average (Helsinki-Uusimaa in Finland, Midtjylland in Denmark and Stockholm in Sweden).
- On the opposite side, weakest regions in the EU perform between 35% and 48% lower than the EU average.

EU-SPI 2.0: Within country variation



- In the majority of Member States, the capital region performs equal or higher than its national average.
- Nevertheless, capital regions in Belgium, France, Italy, Spain and Greece lag behind.
- In general, a capital region does not excel in basic aspects of social progress within its own country;
- Safety, as well as housing quality and affordability, appear to be the main factors preventing capital regions from performing well on the basic needs dimension.

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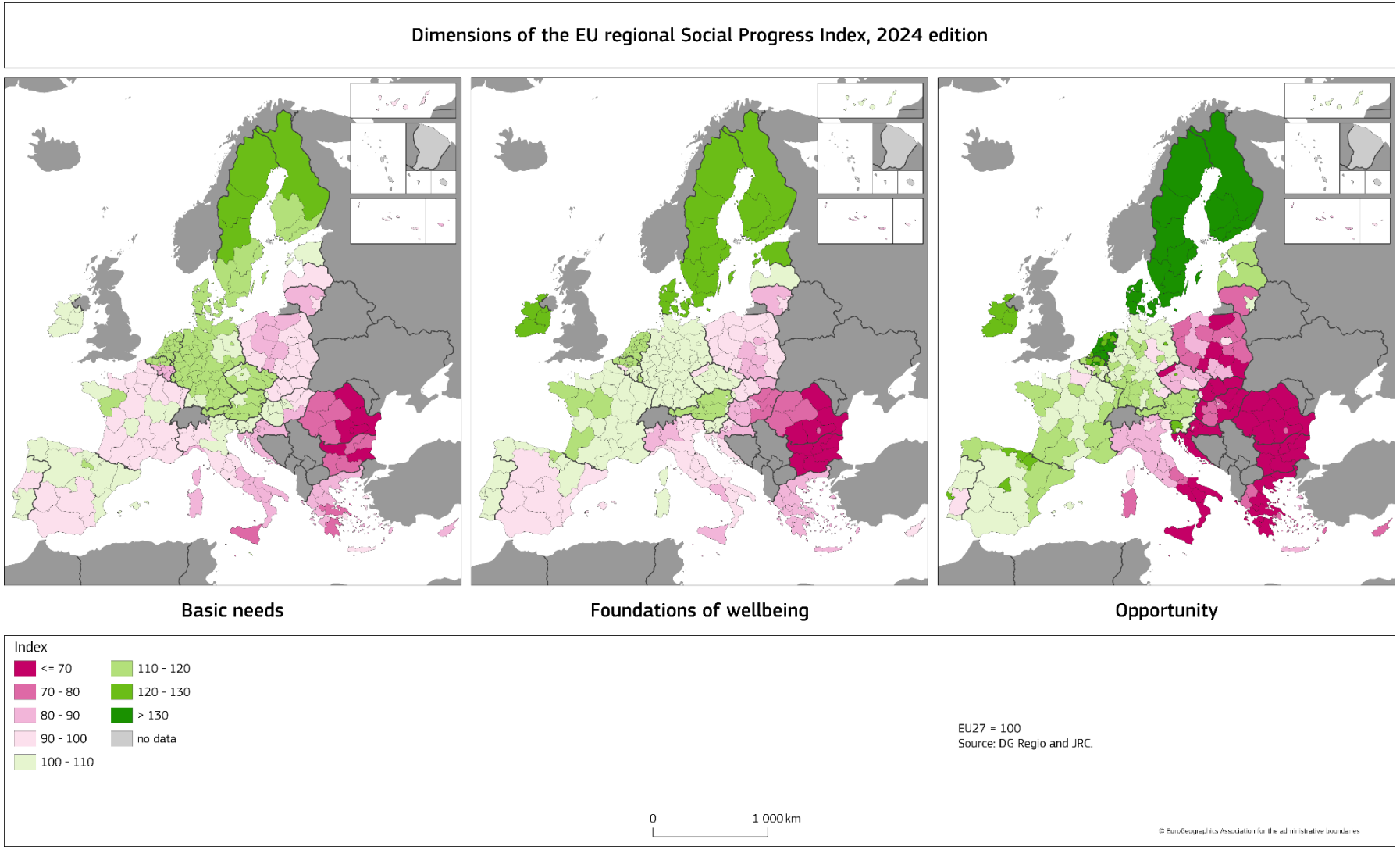
Regional variation across social the dimensions of social progress



Disparities across EU regions already emerge in the more basic components of social progress (i.e., in the basic needs dimension) to become larger in the opportunity dimension, with marked spatial patterns

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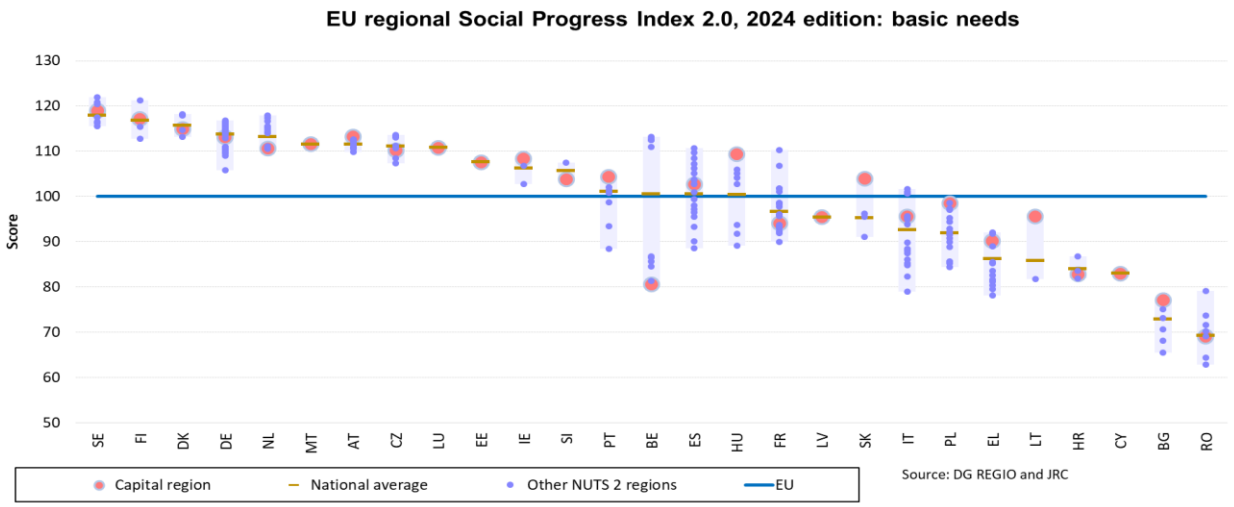
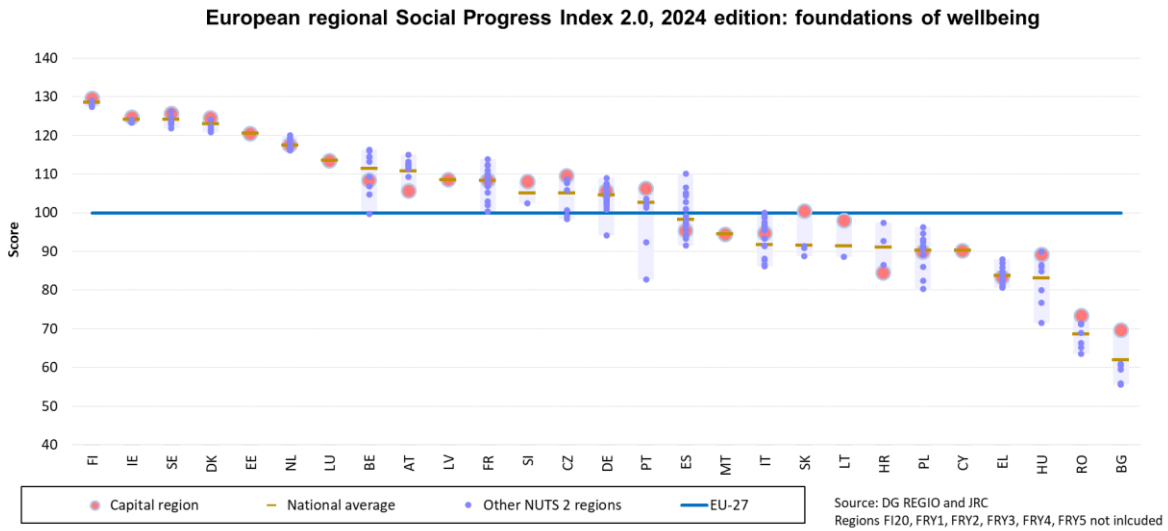
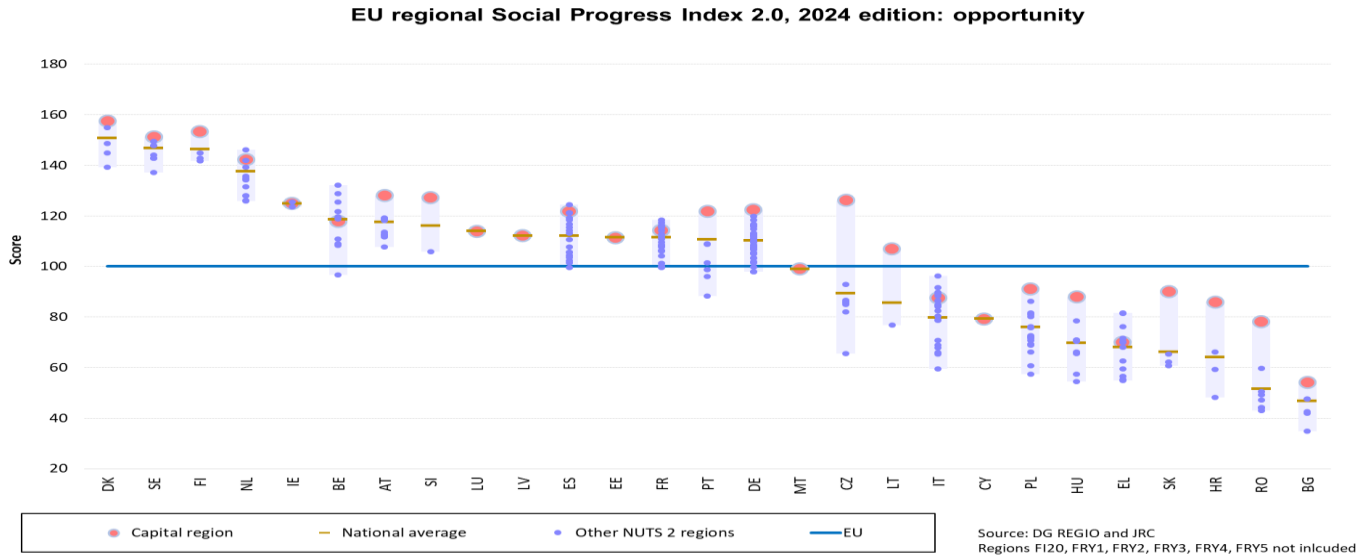
Social progress in capital regions: not always the best performers for basic needs, almost always in the more advanced components







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Social progress is, on average, higher in the more developed regions of the EU and in regions located in northwestern Member States.

Regions by cohesion policy group	EU-SPI	Basic needs	Foundations of wellbeing	Opportunity
More developed	108	107	105	114
Transition	103	100	105	105
Less developed	83	88	87	75

Regions by geographical grouping	EU-SPI	Basic needs	Foundations of wellbeing	Opportunity
Eastern EU	83	90	86	72
Northwestern EU	112	108	110	118
Southern EU	95	96	94	93

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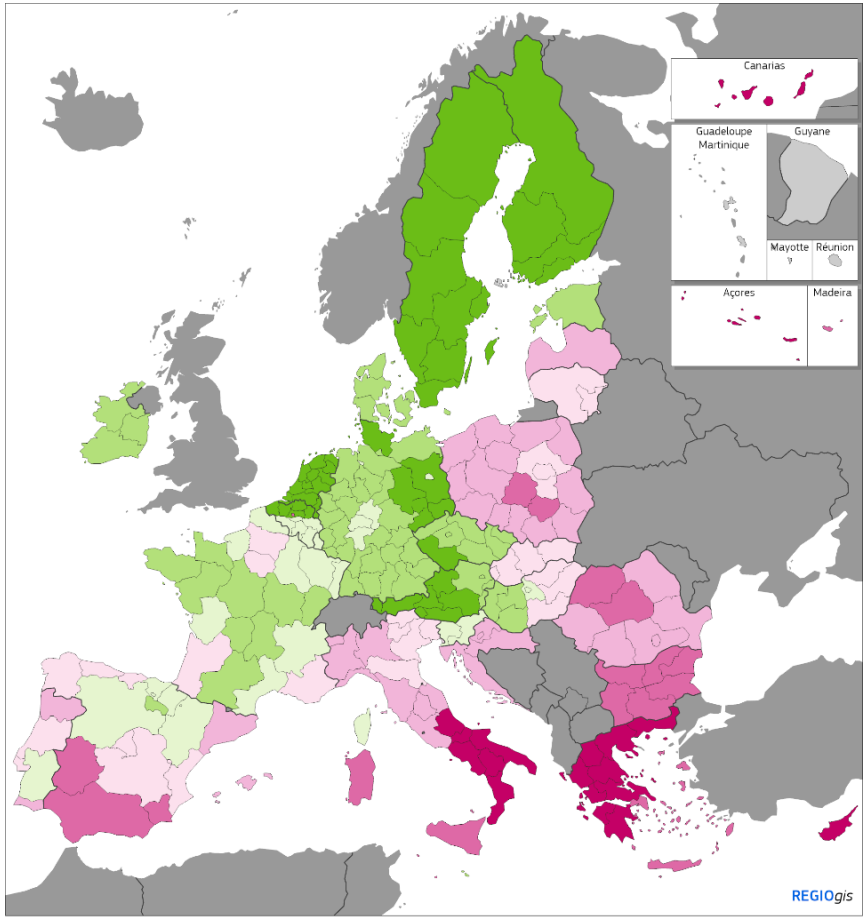
Housing and *Trust and Governance* components



European regional Social Progress Index 2024, Housing Component

Index
- <= 70
- 70 - 80
- 80 - 90
- 90 - 100
- 100 - 110
- 110 - 120
- 120 - 130
- > 130
- no data

EU27 = 100
Sources: DG Regio and JRC

0 500 km

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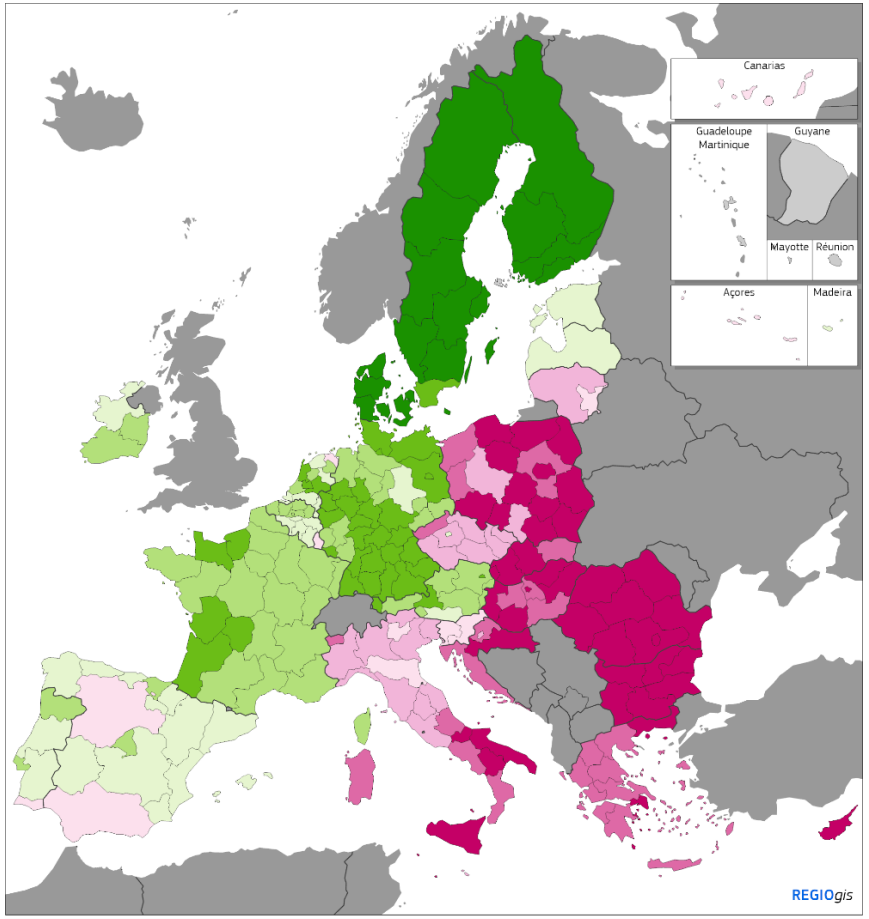

European regional Social Progress Index 2024, Trust and Governance Component

Index
- <= 70
- 70 - 80
- 80 - 90
- 90 - 100
- 100 - 110
- 110 - 120
- 120 - 130
- > 130
- no data

EU27 = 100
Sources: DG Regio and JRC

0 500 km

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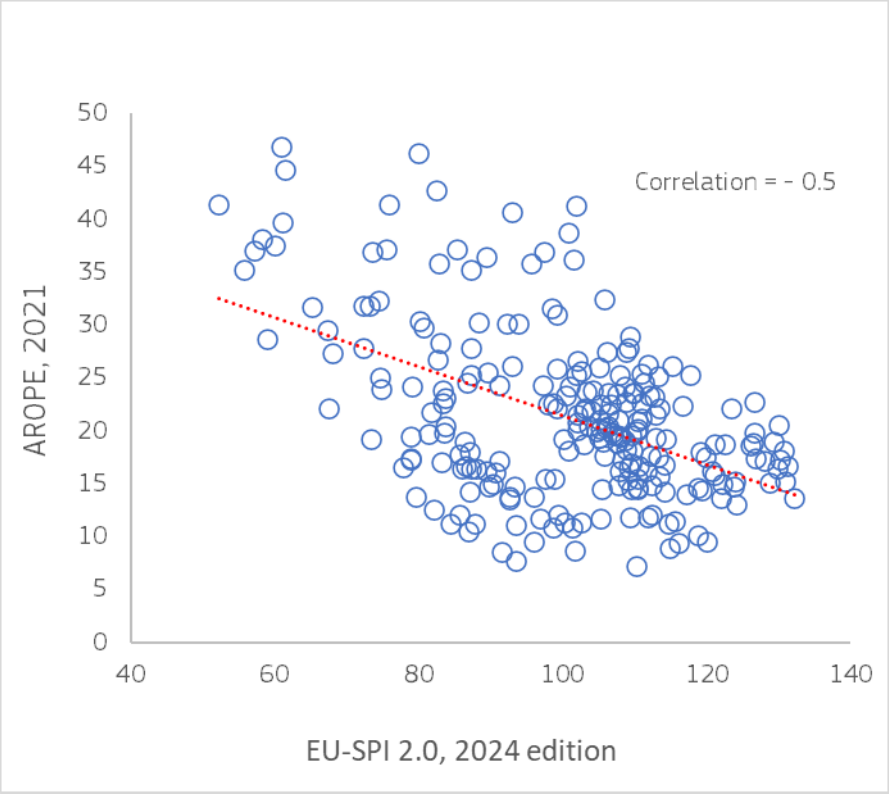
Social progress is about people in places

- Across all EU regions, around six out of ten people live in a region with social progress above the EU average

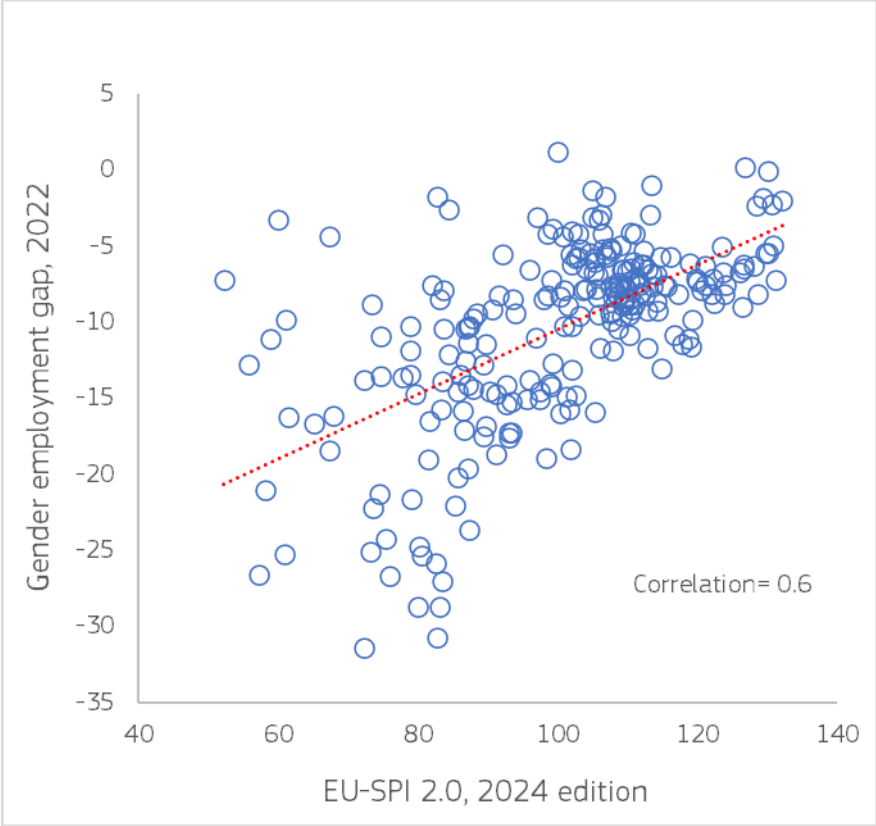
- This share goes down to five out of ten people if we only consider the basic needs dimension (covering issues as health and medical care, water and sanitation and housing).

Regions by cohesion policy group	EU-SPI		Basic needs		Foundations of wellbeing		Opportunity	
	Above EU average	Below EU average	Above EU average	Below EU average	Above EU average	Below EU average	Above EU average	Below EU average
More developed	78%	22%	75%	25%	72%	28%	78%	22%
Transition	76%	24%	47%	53%	74%	26%	74%	26%
Less developed	10%	90%	12%	88%	11%	88%	16%	83%
EU	59%	41%	51%	49%	56%	44%	61%	39%

Correlations



Regions with higher social progress generally register lower shares of people at risk of poverty or social exclusion.



When social progress is higher, the gender employment gap is lower

EU-SPI 2.0: A publication and new interactive tools

- Interactive tools available here
- To analyse social progress in 237 NUTS2 regions of the EU
- To compare with regions in the same country, and other regions in the EU
- In addition, interactive scorecards provide an overview on how a region performs and compares with its peers

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To conclude

- In the EU, measuring regional development in a way to complement GDP is of paramount importance for fostering regional cohesion, promoting inclusive growth, and advancing sustainable development
  - The EU-SPI can serve as a powerful tool to monitor investment of cohesion policy relative to social and environmental objectives/targets and as a complement to the Regional Competitiveness Index.
  - The 2024 edition of the index has strengthened its environmental component.
- The 2024 edition of the EU-SPI confirms that social progress varies greatly across EU regions, with Nordic countries consistently performing better than eastern and southern Member States.
- Less developed regions generally show lower social progress, particularly in basic needs and opportunity dimensions. Future research will explore these differences to identify areas of improvements, and hence eventual policy targets.
- Our analyses have shown that social progress fosters inclusive growth.
  - Regions with higher social progress tend to have lower poverty rates and a smaller gender gap in employment.
  - The relationship between social progress and youth employment further emphasizes its importance. Regions with stronger social progress offer better opportunities for young graduates to enter the workforce.

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